



Economics Lesson Framework - Guidelines for LLM

With Strategic Context and Examples from Our Zimbabwe Lesson



Core Philosophy

- Challenge Intuition First, Then Build Understanding
- Real-world scenarios before abstract theory
- Progressive complexity with frequent reinforcement
- Academic rigor with conversational engagement

WHY THIS MATTERS: Most economics education fails because it starts with abstract theory. Students memorize formulas but can't apply them. By challenging intuition first, we create "aha!" moments where theory clicks because they've already wrestled with the problem emotionally.



XP System Structure

Type 1: Intuition Questions (+5 XP, No Loss)

- Test gut reactions and values
- No "correct" answers - just reveal assumptions
- Challenge what seems obvious

CONTEXT: These questions serve as "reading rewards" - students get XP just for engaging with tricky concepts. The low XP (5 points) signals this isn't about being right, it's about thinking. No penalty removes fear and encourages honest self-reflection.

ACTUAL EXAMPLE FROM OUR LESSON:

****👉 Interactive Question 1**** *(Intuition Test, 5 XP)*

****You are Dr. Gono. It's 6 AM and you must decide before the markets open. What do you do?***

****A.**** Your people are suffering now. Teachers haven't fed their families in months. Hospital workers are abandoning their posts. The military is growing restless - and hungry soldiers have overthrown governments before. You authorize printing enough money to pay government salaries and keep essential services running. Yes, prices might rise further, but your citizens

survive this month. There's no guarantee any long-term plan will work anyway, and a collapsed state helps no one.

****B.**** You accept today's pain: teachers will continue unpaid, hospitals may close, and people will direct their fury at you personally. But printing money is exactly how hyperinflation spirals out of control. Every dollar you print today destroys savings and wages tomorrow. You force the government to live within its means, hoping this brutal medicine prevents total economic collapse. Your reforms might fail anyway - condemning both current and future generations.

Each path has compelling logic. Each path could destroy the country. Choose based on what you truly believe is right.

Type 2: In-Lesson Questions (10-20 XP, No Loss)

- **Application:** 10 XP (single concept)
- **Analysis:** 15 XP (moderate complexity)
- **Integration:** 20 XP (multiple concepts)
- Safe learning environment, immediate feedback

ACTUAL EXAMPLE FROM OUR LESSON:

****👉 Interactive Question 4**** *(Analysis, 15 XP)*

****COVID-19 forces Jamaica to implement work-from-home policies in March 2020. What happens to demand for business attire at Kingston clothing stores?****

****A.**** Demand increases because people want to maintain professionalism on video calls and preserve normalcy during uncertainty. Professional appearance becomes even more important as a confidence signal when everything else feels chaotic.

****B.**** Demand decreases because comfort becomes the priority when working from home. Consumer preferences shift toward casual wear, and business attire becomes unnecessary for daily work life.

Consider which demand factors are actually changing: income, preferences, lifestyle requirements, or future expectations.

Type 3: Recap Questions (XP at Risk)

- **Type 3A - Easy Recall:** +20 XP / -15 XP
- **Type 3B - Hard Analysis:** +50 XP / -25 XP
- Only question type with penalties

ACTUAL EXAMPLE FROM OUR LESSON:

****Question 15 (20 XP):**** ****C**** - Consumers bear \$6, producers bear \$4 of the tax burden

Consumer price rose \$6 (\$506-\$500), producer price fell \$4 (\$500-\$496). Total tax burden = \$10.



Lesson Structure Template

Section 1: The Hook - Crisis Scenario

- Place reader in high-stakes decision-making role
- Use **real historical scenarios** with documented outcomes
- Present **binary choice** with compelling logic for both options
- **Never reveal the economic concept** in the question setup

ACTUAL HOOK FROM OUR LESSON:

December 2007, Harare, Zimbabwe

You wake to pounding on your front door. Three black sedans idle in your driveway, their engines running in the pre-dawn darkness. Presidential guards.

"The President wants to see you. Now."

Twenty minutes later, you sit across from Robert Mugabe in his private study. The room is silent except for the ticking of an antique clock. On his desk lie newspaper headlines: "DOCTORS ABANDON HOSPITALS," "TEACHER EXODUS CONTINUES," "ARMY RATIONS CUT AGAIN."

You are Dr. Gideon Gono, Governor of Zimbabwe's central bank. For months, you've watched your country slide toward economic collapse...

Mugabe leans forward. His voice is calm, but his eyes are steel.

"Fix this," they demand. "Now."

Formal Definitions After Experience

- Provide academic definitions AFTER students have wrestled with concepts emotionally

ACTUAL DEFINITION FROM OUR LESSON:

The Economics Behind Your Choice: Demand

What you just wrestled with is the foundation of **demand**—one of economics' most powerful concepts.

Demand is the relationship between the price of a good and the quantity that consumers are willing and able to purchase during a specific time period, holding all other factors constant.

Notice three crucial parts:

1. **Willing AND able** - Wanting something isn't enough; you need purchasing power
 2. **Specific time period** - Demand changes daily, seasonally, over years
 3. **All other factors constant** - Income, preferences, substitutes remain unchanged
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Question Design Rules

Rule 1: Never Give Away the Economic Concept

GOOD EXAMPLE FROM OUR LESSON:

👉 Interactive Question 1 **(Intuition Test, 5 XP)**

How do you launch this artist's debut album?

A. Release 2,000 limited vinyl copies at \$75 each through select record shops in Kingston, London, and New York. You're Universal - you have the luxury of patience and deep pockets. Build an exclusive cult following first, create scarcity and mystique. When you eventually go mainstream, you'll have a devoted fanbase willing to pay premium prices for everything this artist releases.

B. Press 25,000 CDs at \$18 each and push for immediate streaming/radio play across all platforms. You're Universal - you manage 200+ artists and have massive distribution infrastructure already built. You need to recoup recording costs fast and move to your next project.

Note: No mention of "demand curves" or "elasticity" - just business strategy choices

Rule 2: Make Both Options Genuinely Appealing

- Include real-world constraints that justify both approaches
- Add institutional context

ACTUAL EXAMPLE FROM OUR LESSON:

****A.**** Implement rent control capping annual rent increases at 3% for existing tenants. This directly addresses affordability by preventing landlord exploitation during housing shortages. Current residents can stay in their neighborhoods, maintaining community stability. Gradual increases still allow landlords to cover rising costs while protecting tenants from market volatility.

****B.**** Eliminate zoning restrictions and expedite permitting for new housing construction. Rent control treats symptoms, not causes—the real problem is insufficient housing supply. Removing regulatory barriers will unleash private construction, increasing housing stock and naturally lowering rents through market competition.

Both options include compelling logic and real-world political appeal

Rule 3: Include Second-Order Effects

ACTUAL EXAMPLE FROM OUR LESSON:

****A.**** Price at \$1,199 to maximize revenue per unit. iPhone users are incredibly loyal with few viable substitutes—they'll pay premium prices for the Apple ecosystem. Economic uncertainty makes it crucial to maximize profit margins while you can. The 60% who'll pay up to \$1,400 proves demand is price-insensitive.

****B.**** Price at \$899 to match Samsung and defend market share. A recession makes consumers more price-sensitive, and losing customers to Android might be permanent. Better to sacrifice margins temporarily and maintain the installed base, then raise prices when economic conditions improve and switching costs are higher.

Includes brand loyalty, competitive dynamics, economic cycles, switching costs

Rule 4: Test Values, Not Just Knowledge

ACTUAL EXAMPLE FROM OUR LESSON:

****A.**** Support the ban because scalping creates artificial scarcity and exploits genuine fans. Tickets should go to people who love the artist most, not who has the most money. Market-clearing prices exclude working families from cultural experiences and create unfair two-tiered access systems.

****B.**** Oppose the ban because secondary markets reveal true demand and help allocate tickets efficiently. If official prices are below equilibrium, shortages are inevitable. Banning resales just pushes the market underground and prevents price discovery that could inform future official pricing decisions.

Tests fairness vs efficiency values, not supply/demand knowledge

Rule 5: Use Only Real, Verifiable Scenarios

ACTUAL EXAMPLES FROM OUR LESSON:

In 2008, Zimbabwe's central bank printed money at an unprecedented rate. The M1 money supply (cash and checking deposits) expanded by over 1,000% annually.

Here's what happened month by month:

**** January 2008:**** A loaf of bread cost 200,000 Zimbabwe dollars

**** June 2008:**** The same loaf cost 1.6 billion Zimbabwe dollars

**** November 2008:**** That loaf cost 35 billion Zimbabwe dollars

**** January 2009:**** If you could find bread, it cost over 300 billion Zimbabwe dollars

Tone and Style Guidelines

Academic Rigor After Intuition Building

ACTUAL ACADEMIC DEFINITION FROM OUR LESSON:

****Market equilibrium**** occurs at the price where quantity demanded equals quantity supplied. At this point:

- Every consumer willing to pay the market price can buy the good
- Every producer willing to sell at the market price can sell their output
- There's no shortage (excess demand) or surplus (excess supply)
- The market "clears"

****Equilibrium price**** is the price at which this balance occurs.

****Equilibrium quantity**** is the amount bought and sold at equilibrium price.

Conversational Engagement Before Academic Language

ACTUAL STORYTELLING FROM OUR LESSON:

****Margaret Choto, a schoolteacher in Bulawayo, described her experience:****

"In the morning, I would take a wheelbarrow full of notes to buy a single chicken. By afternoon, I needed two wheelbarrows for the same chicken. I stopped teaching because my monthly salary couldn't buy a loaf of bread."

Common Pitfalls to Avoid

Don't make questions solvable through simple math

GOOD EXAMPLE FROM OUR LESSON: *Record label pricing strategy had complex factors (brand building, customer lifetime value, competitive positioning) rather than simple revenue calculation*

Don't use obviously loaded examples

GOOD EXAMPLE FROM OUR LESSON:

****A.**** Support the tax because teen health outcomes justify potential business disruption. Even modest usage reduction protects developing brains from addiction. Revenue can fund smoking cessation programs.

****B.**** Oppose the tax because it will create black markets and push users toward more dangerous unregulated products. High taxes on harm-reduction products may drive people back to cigarettes.

Both sides have legitimate public health arguments

Remember: The goal is to create economists who can think systematically about incentives, trade-offs, and unintended consequences - not just memorize definitions.